

Long Recommendation — April 2026

Iridium Communications (NASDAQ: IRDM)

Long Recommendation Presented to the Student Investment Fund

BUY | Price Target: \$39.09 | ~12.81% Upside from \$34.65

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Investment Thesis



Point	Rationale
1 Transition to a Cash-Harvesting Utility	The \$3B NEXT constellation buildout is 100% complete. Capital expenditures have peaked and normalized to ~\$85M annually. This inflection drives \$300M+ in Free Cash Flow that fully funds aggressive share buybacks and rapid debt deleveraging.
2 Physics & Regulation Create a Sustained Moat	Iridium's globally harmonized L-Band spectrum and cross-linked polar orbit provide 100% true global coverage. Combined with ITU priority rights grandfathered from the 1990s and unique maritime (GMDSS) certifications, no commercial competitor can replicate this network at any cost within a decade.
3 Non-Discr. Revenue with 100% Renewal	The \$170M+ annualized EMSS contract acts as a bond-like cash flow floor. Because Iridium's cross-linked mesh architecture routes data entirely in space (bypassing vulnerable ground stations), they are an operational necessity for the U.S. military in denied-access environments, securing a 100% renewal rate since 2004.
4 >90% Recurring Revenue with Expanding Margins	Operating effectively as a toll-road, over 90% of Iridium's revenue is highly sticky recurring service revenue. With less than 0.5% monthly churn in enterprise IoT, every new subscriber flows straight to the bottom line, driving Gross Margins from 26% to 47% and EBITDA margins past 51%.
5 Project Stardust Unlocks Asymmetric Upside	By upgrading their existing network to open 3GPP 5G NTN standards (Project Stardust), Iridium is unlocking the multi-billion dollar Direct-to-Device (D2D) and consumer smartphone markets. This provides a massive growth catalyst without requiring a single dollar of new satellite CapEx.
6 The Last Independent L-Band Monopoly	Big Tech's aggressive hunt for satellite assets—highlighted by Amazon's rumored \$9B bid for Globalstar—exposes the extreme scarcity value of L-Band spectrum. Trading at roughly one-third of that valuation despite having vastly superior cash flows, Iridium represents a severely undervalued target in a consolidating industry.

The Iridium Inflection



Iridium differentiates itself from its peers for a few key reasons. It is because of these factors that we believe it makes sense to buy.



Barriers to Entry: The massive CAPEX that it takes to launch a global constellation creates a moat against new competitors



Global L-Band Dominance: Iridium is the only network with 100% global coverage with its 66 satellites



Aviation & Maritime Safety:

- Global safety-rated communication
- Resilient L-band weather performance



IoT and Tracking:

- Scalable global asset monitoring
- Low power, high reliability data
- Leading autonomous system



Government and Defense:

- Secure, multi-year DoD contracts
- Reliable field-op communications
- Encrypted tactical mesh networking

CAPEX Holiday

Next Constellation Launch:

No significant replacement in the next upcoming years

Rapid Deleveraging:
Strong EBITDA,
low CAPEX =
lower Net Debt/
EBITDA Ratios

Free Cash Flow Acceleration:
Minimal
maintenance
costs = high % of
revenue to drop
to bottom line

Yield Generation:
Sustained FCF
profile supports a
growing dividend
policy, reduces
external financing

Future Catalysts

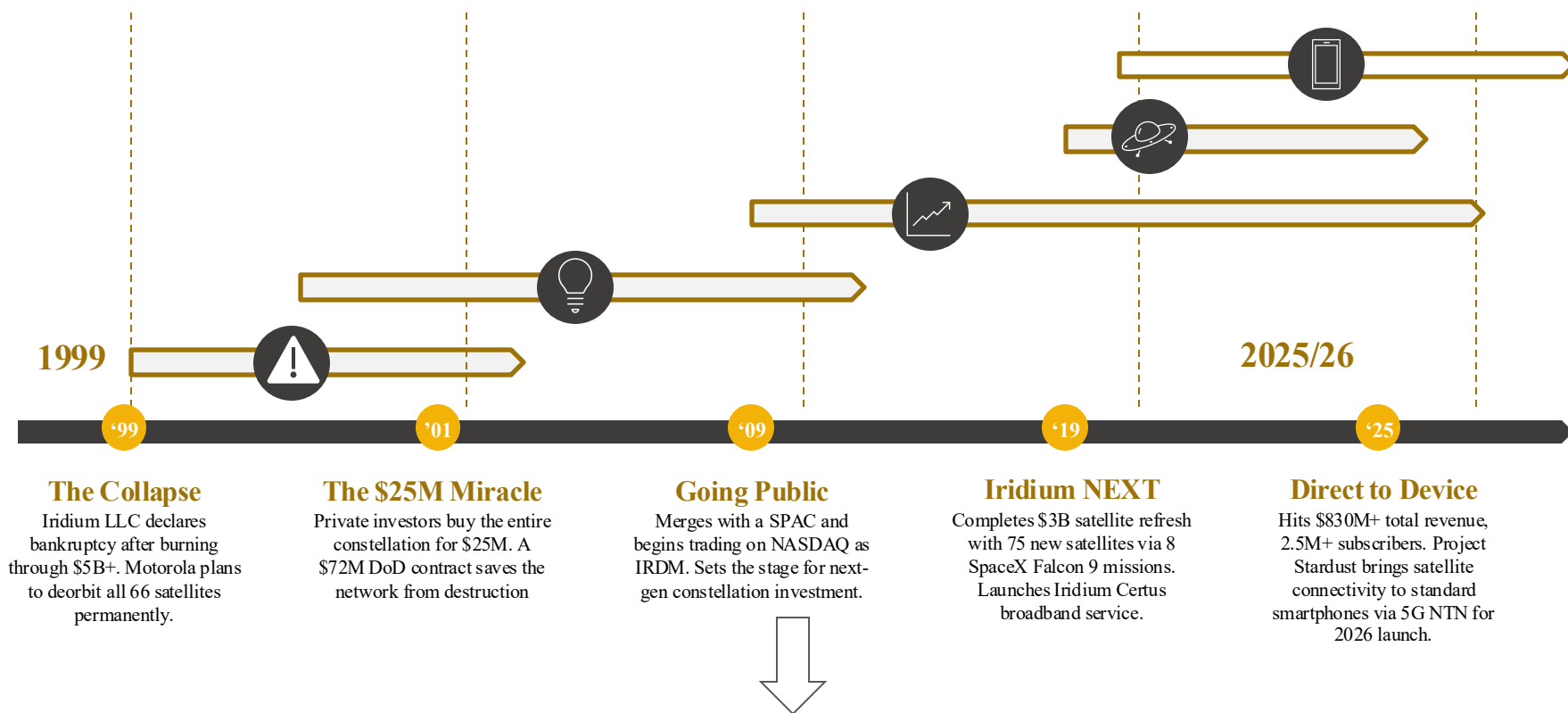
Iridium Certus: High Speed L-band data services for high-end maritime and aviation

Direct-to-Device: Exploring the integration of satellite connectivity into smartphones.

Midband Growth: Capturing the space between low-speed IoT and high-speed VSAT.

Hosted Payloads: Leasing space on existing satellites for third-party sensors

Iridium Re(connection)



From Bankruptcy to Orbit

Iridium was a \$5B satellite network that went bankrupt in 1999 and sold for \$25M. A small group of investors rebuilt it, but when it came time to go public, the 2008 financial crisis had frozen the IPO market entirely. Iridium merged with a blank-check shell company (SPAC) sponsored by Greenhill & Co. Even then the deal nearly fell apart which forced a 15% valuation cut. They closed at a \$517M enterprise value in September 2009, right at the market bottom. This turned out to be great timing as Iridium accessed public capital markets when no one else could. This gave them the runway to fund a \$3B constellation refresh with SpaceX. Today, it's the only true global satellite network, generating \$830M in annual revenue with direct-to-smartphone service.

Executive Summary



Recommendation

BUY

Price Target \$39.09 - ~12.81% Upside
Current: \$34.65

Price Target

\$39.09
+12.81%

Bear: \$28 | Base: \$39 | Bull: \$52

FCF Yield

16.00%

\$300M annual FCF on \$1.9B mkt cap priced as distressed telco

EV / EBITDA

10.48x

vs. tower/pipeline comps at 12x–18x EBITDA

EBITDA Margin

51.19%

FY2025A expanding from 48.9% in FY24

Thesis I — Structural Monopoly

66-Satellite L-Band LEO: Irreplicable Infrastructure

Pole-to-pole coverage, \$3B+ replacement cost, ITU spectrum rights grandfathered from the 1990s. No commercial satellite can replicate this network at any cost within a decade.



Thesis II — The 5G Standards-Based Pivot

Zero-CapEx D2D Call Option: Project Stardust

Network upgrade to support 3GPP 5G NTN standards, shifting to an open, universal network with zero spend needed. Enters massive D2D & IoT markets & abandons restrictive, exclusive chip deals.



Thesis III — Post-NEXT FCF Inflection

Wrong Metric: 16% FCF Yield on a Toll-Road Asset

Capex peaked at \$100M (FY2025) and normalizes to \$85M. Market applies telco P/E discount when IRDM generates \$300M+ annual FCF with no spectrum competition.



Thesis IV — DoD EMSS Contract

Sole-Source Government Contract: 100% Renewal Rate

\$170M+ annualized government revenue. Sole-source EMSS renewed every cycle since 2004. This is not vendor preference, but rather an operational necessity.

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Mobile Satellite Systems (MSS) Market Overview



Iridium's leadership in the market is driven by 100% global coverage, 95% revenue from commercial subscribers, and strong double-digit IoT growth



100% global pole-to-pole coverage



North America

Largest regional revenue contributor

Rapid IoT Adoption Growth

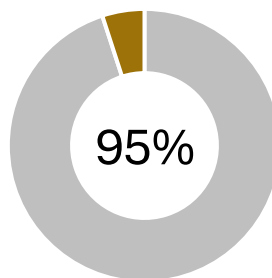
11%

Steady Maritime Market Share

36%

CAGR
14%

This is the 5-year Commercial IoT Subscriber CAGR showing Iridium's Growth



95% of the revenue comes from **commercial subscribers**



Increasing ARPU



Expanding Partner Ecosystem

North America

Major Players Mapping the Market

Globalstar

THALES

SPACEX

GARMIN

Viasat

inmarsat

Key Takeaways:



- Unrivalled L-band network reliability
- Critical for mission-safe tasks



- Growing personal communications sector
- Expansion into smartphone markets



- Strong recurring service revenue
- Industry-leading churn rates

The Expanding MSS Ecosystem

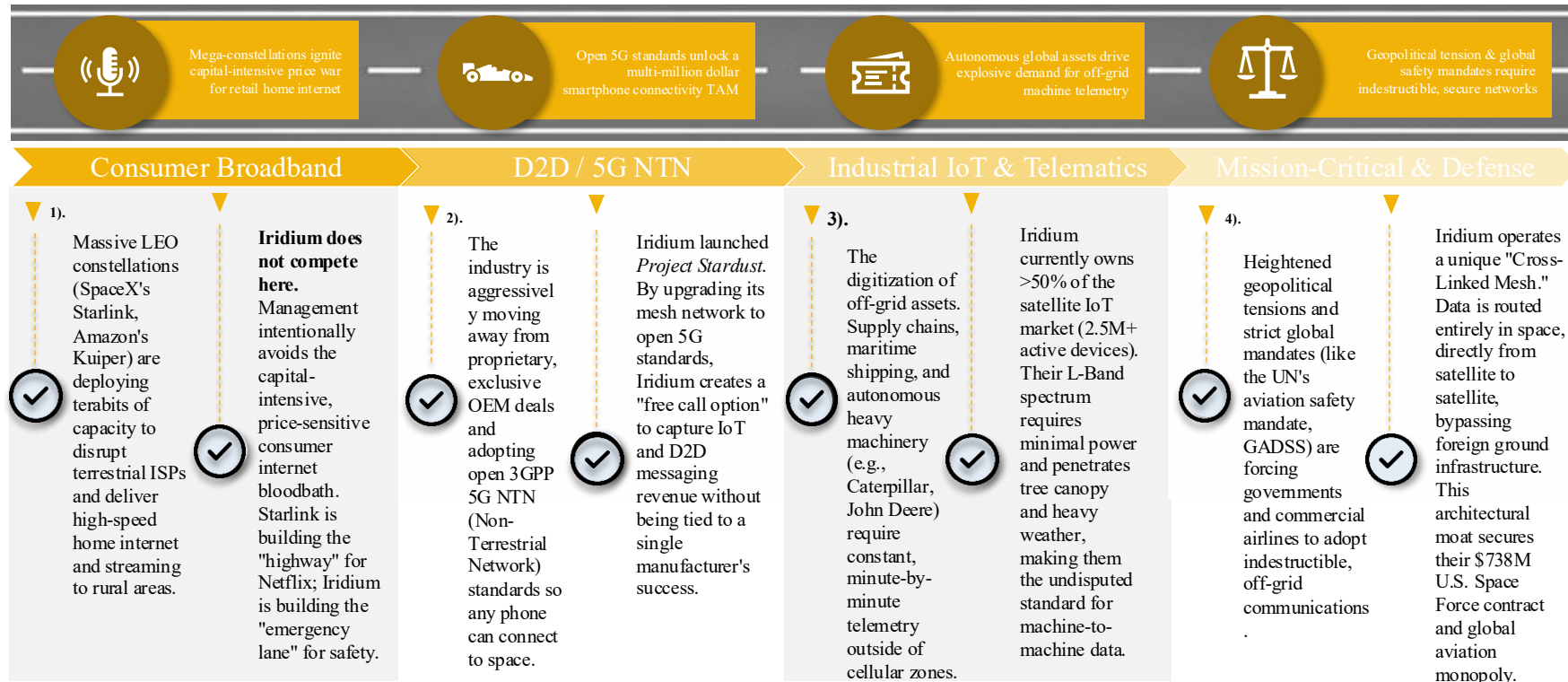


Industry Context

The global MSS market is entering a transformative phase, projected to surpass \$11 Billion by 2034. Driven by plummeting launch costs and new 5G NTN (Non-Terrestrial Network) standards, the industry is bifurcating into two distinct lanes: **high-volume consumer broadband** (capital-intensive, lower margin) and **mission-critical industrial data** (highly regulated, 70%+ margins).

By the Numbers

\$11.5B	25%	\$12.0B	70%+
Projected MSS Market Value (2034)	Global Satellite IoT Device CAGR	Forecasted D2D / 5G NTN Market	Mission-Critical EBITDA Margins



Satellite IoT: Long-Duration Compounding Growth



Impacted Industries

Maritime

90% of global trade travels by ocean, far beyond the 15% of the earth covered by cell towers. Shippers are rapidly deploying IoT to track refrigerated cargo temperatures and optimize routes.

10.5M

Connected Smart Containers by 2029

Energy & Utilities

Oil, gas, and renewable energy grids span thousands of miles of uninhabited terrain. Replacing manual inspections with L-Band satellite sensors saves millions in operational costs and prevents catastrophic leaks.

\$1.8B

Annual O&M Savings in Pipeline Monitoring

Heavy Telematics

Companies like John Deere and Caterpillar require constant data feeds to run autonomous tractors and mining drills. When these machines operate in remote fields or open-pit mines, satellite IoT is the only viable data link.

22.5%

CAGR of Autonomous Heavy Machinery

Aviation

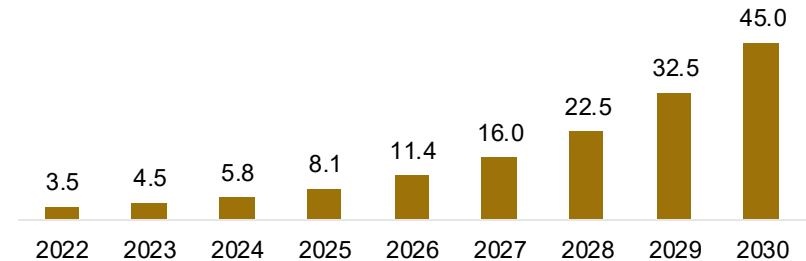
Following the disappearance of MH370, global aviation mandates require real-time, minute-by-minute tracking of commercial aircraft over oceans, creating a captive, regulatory-driven market for satellite data.

>35K

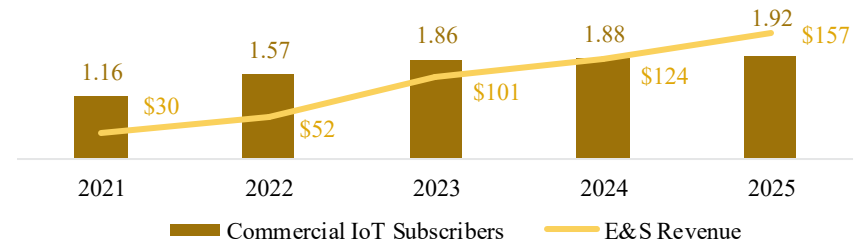
Commercial Aircraft Under GADSS Mandates

Global & IRDM IoT Subs

Global Satellite IoT Subscribers¹



IRDM IoT + E&S Revenue



1.89M

Data/IoT Subscribers FY2025A

+26%

E&S Revenue Growth FY2025

5.5B

Est. Satellite IoT Connections 2030E

20%+

Satellite IoT CAGR 2024-2030E

Unique market angle builds on existing moat

(1) Via Berg Insight Global Satellite IoT Subscriber Research

Structural Monopoly – L-Band LEO



IRDM's competitive position is defined by physics, not product. L-band frequency, polar orbit geometry, and ITU spectrum rights create a structural monopoly that no amount of capital can replicate within this decade

L-Band Physics: Penetration Ka/Ku Cannot Match

1.6 GHz propagates through ship hulls, dense foliage, and marginal structures. IoT sensors draw <1W vs. 12-50W for Ka/Ku dishes. This gap is physics; no product roadmap closes it. IRDM IoT churn <0.5%/mo because alternatives do not exist.¹

Polar Coverage: 100% Earth Surface Including Poles

86.4° inclined orbital planes, 6 polar planes x 11 sats = pole-to-pole coverage. GEO satellites fail above 70° latitude. Arctic shipping lanes, Antarctic research, polar military operations, creating IRDM's moat in the space.²

ITU Spectrum Rights: 1990s Priority, Cannot Be Bought

IRDM's L-band ITU filings date to ~1991. Under ITU coordination rules, any new filer must coordinate with IRDM. New entrant timeline: 7+ yr coordination + 5+ year deployment = 2035+ earliest operational.³

Cross-Link ISLs: Routes in Space, Not on Ground

Ka-band ISLs route traffic satellite-to-satellite; only 9 earth gateways serve all 66 sats globally. Competitors need 100s of ground stations. ISL architecture lets IRDM operate in A2AD environments.⁴

Company	Freq.	Orbit	Polar?	D2D Live	DoD
IRDM	L-Band	LEO 780km	Yes	Yes	Yes (EMSS)
Globalstar	S/L-Band	LEO 1,414km	No (gaps)	Apple only	No
AST SpaceMobile	Cellular	LEO ~500km	Not yet	Planned	No
Viasat	Ka/Ku	GEO 35,786km	No	No	Limited
Starlink	Ku/Ka	LEO 550km	Partial	Beta only	SpaceX only

Competitive Positioning Matrix

Competitive Positioning Matrix

IRDM (Only Occupant)

High Coverage / Low Freq.
Pole-to-pole L-band @ \$3B+ replacement cost, ITU rights from 1991. DoD EMSS contract, D2D live.

Starlink (Partial)

High Coverage / High Freq.
Ka/Ku LEO broadband – 7,000 satellites but no polar orbit, no IoT, no DoD EMSS. Home internet use case.

Globalstar (GSAT)

Partial Coverage / Low Freq.
24 satellites, coverage gaps at the poles. Apple-exclusive D2D deal; no DoD. Trades at 57x EBITDA vs. IRDM at 8.8x

Viasat / ASTS

Partial Coverage / High Freq.
Viasat: GEO Ka/Ku, no polar. ASTS: Ka/Ku pre-revenue broadband. Neither serves industrial sensors nor polar military.

← Lower Frequency | Higher Frequency →

(1) Via Satellite Ground Station, (2) Via Zenodo Open Science Repository, (3) Via GMDSS Testers / Radio Survey, (4) Via Satellite Industry Architecture Documentation: IRDM Satellite Constellation

Competitive Landscape



Companies	Relevant Metrics			Positioning
	Year	Industry Niche	Value	
Viasat	1986	Satellite Broadband	\$7.3B	Combine GEO Ka- & L-band assets for multi-orbit global connectivity
INTELSAT	1964	Satellite Services	\$3.1B	Consolidate GEO and MEO fleets for scale & multi-orbit service platform
EUTELSAT	1977	Satellite Broadband	\$3.4B	Merge GEO & LEO constellations for hybrid connectivity services
Globalstar	1999	Direct-to-Device	\$1.5B	Enable satellite emergency SOS & messaging on iPhones via LEO
iridium	1999	LEO Satcom/IoT	\$2.5B	Only global LEO voice, data, & IoT network with pole-to-pole coverage, expanding into D2D & PNT
amazon project kuiper	2024	Satellite Broadband	N/A	Build massive LEO constellation to challenge Starlink in broadband
HUGHES An EchoStar Company	1980	Satellite Broadband	N/A	Integrate broadband & broadcast satellite assets under one platform
TELESAT	1969	Satellite Broadband	\$2.5B	Deploy next-gen LEO for enterprise & government connectivity
ORBCOMM	1993	IoT/M2M	\$1.1B	Scale industrial IoT via satellite & terrestrial networks
Qualcomm	1985	Direct-to-Direct	N/A	Partner for satellite connectivity on Snapdragon tactical radio
Most Prominent Figure				
STARLINK	2019	Satellite Broadband	N/A	Dominant LEO broadband with 7,000+ satellites; expanding into D2D with T-Mobile & gov't contracts

Iridium's Industry Positional Advantage



Consumer Satellite War

SPACEX

T Mobile

Direct-to-cell SMS via Starlink satellites. Ka/Ku-band. Requires dense cell-tower-equivalent coverage in space. Consumer text messaging over LTE spectrum.

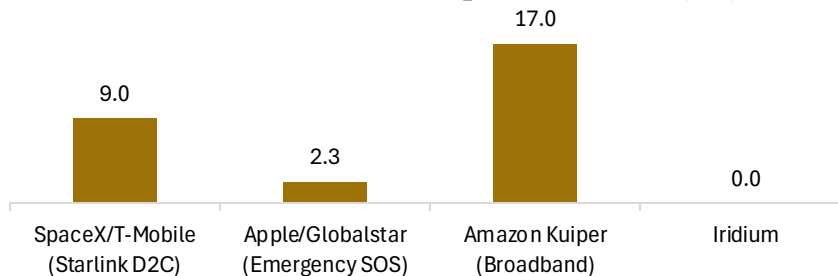


Emergency SOS for iPhone via L-band Globalstar (not Iridium). Limited to emergency messaging. Revenue split with Globalstar; Apple pays for uplink access.

amazon

Kuiper: Ka-band broadband delivery. Competing with Starlink for home/enterprise broadband internet. First satellites deployed in 2024, but years from commercial scale.

Consumer Satellite Capital Invested (\$B)



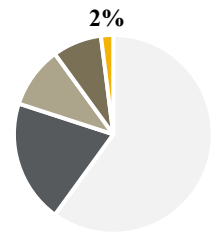
(1) Via Berg Insight Global Satellite IoT Subscriber Research

Where IRDM Actually Sits

Market Segment	Iridium	Starlink	Inmarsat ¹	Globalstar
Maritime Safety (GMDSS)	Mandated	No Certification	Mandated	No Certification
Aviation Safety (ADS-C)	Mandated	No Certification	Mandated	No Certification
DoD / EMSS	Only Provider	Not cleared	Partial	N/A
Industrial IoT / M2M	Dominant	Hw Limits	Partial	Limited
Polar / Arctic Routes	100% Coverage	±70° lats only	Competes	N/A
Consumer Broadband	Not a target	Core market	Limited	N/A
Consumer Emergency SMS	Partial (D2D)	T-Mobile	N/A	Apple SOS
Overlap with Iridium		~0%	~25%	<5%

Starlink Addressable Market

- Residential Broadband
- Enterprise / Business Broadband
- Maritime Broadband (Non-Safety)
- Aviation Broadband (non-ATC)
- Overlap with Iridium



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Subscription-Led Model: 93% Revenue is Recurring



IRDM combines one-time hardware sales with recurring monthly service fees, creating a scalable subscriber model with less than 1% monthly churn, minimal incremental costs, and highly predictable, high-margin cash flows that grow as the subscriber base expands.

Revenue Flywheel

Hardware sales — including phones, modems, IoT modules, and PLBs	Activation — SIM + service plan via partner portal	Monthly ARPU — ~\$10-\$90+/mo; IoT to satellite voice	FCF generation — \$300M+/yr; 51%+ EBITDA margins
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FY2025A Revenue Composition

Segment	Revenue	% Total	YoY	Characteristic
Service - Commercial	\$526M	60.3%	+3.4%	IoT/M2M, Maritime, Aviation
Engineering & Support	\$157M	18.0%	+25.9%	D2D Tech, DoD Integration
Service - Government	\$108M	12.4%	+1.6%	EMSS Anchor, Sole-Source
Subscriber Equipment	\$81M	9.3%	-11.3%	Post-NEXT Upgrade Tapering
Total Revenue	\$872M	100%	+4.9%	Recurring: 90.7%

Key Operating Metrics

2.10M

Total Billable Subs FY25

1.89M

IOT/Data Subs FY25

51.2%

EBITDA Margin FY25A

47%

Gross Margin FY25 (26% FY21)

Why Gross Margin Went from 26% to 47% in Four Years

IRDM's gross margin expansion is the most important signal the market is ignoring. Legacy NEXT satellite amortization peaked and is now rolling off. Every incremental commercial subscriber adds revenue at near-zero marginal cost. Gross margin will continue expanding toward 52% - 55% by FY2028E as D2D and E&S revenue scales.

Churn <0.5%/month in enterprise IoT: Switching requires physical hardware replacement at ~10x IRDM ARPU cost. Contracts are multi-year with exit penalties.

2017 - 19

NEXT constellation launched via SpaceX Falcon 9

2020 - 21

NEXT fully operational & legacy satellites retired; D&A peaks, FCF begins inflecting

2022

Apple Emergency SOS launches on iPhone 14, E&S revenue begins accelerating

2023

Qualcomm Snapdragon Satellite announced, Android D2D ecosystem enabled

FY2025A

E&S +26% YoY; gross margin 47%; FCF \$300M; capex peaks then normalizes

FY26 - 27E

FCF inflection: \$314M-\$329M; ND/EBITDA declining from 3.8x toward <3.0x

The IRDM Constellation



66

Active Satellites

9

In-Plane Spares

780km

Orbital Altitude

100%

Global Coverage

2031+

Expected Op. Life

Original Constellation '97 – '17

66 Motorola-era satellites

Low bandwidth, analog voice primary use case. This limited data capability with 5–7-year design life.

High Maintenance Capex

Three replacement launches per year on average, driving elevated capital expenditures with no performance improvement.

Limited Data Capacity

Designed for voice – could not support modern IoT, broadband, or device-to-device on a commercial scale.

Revenue Plateau

Growth was limited to satellite phone users, which was a small and slow-growing market. No ARPU expansion path.

Next Generation '17-Present

3X More Capable Than Previous Model

Higher bandwidth per beam, more channels, higher data throughput. This enables Iridium Certus broadband, maritime, aviation, and D2D.

Capex Normalizing

12.5-year design life. No replacement launches until 2031+. Capital expenditure falls from \$100M peak (FY25) to around \$85M.

Built for IoT, D2D & Broadband

Apple Emergency SOS, Qualcomm Snapdragon, and Certus broadband all require NEXT capabilities, which have been fully deployed since 2019.

Competitive Moat to 2031+

Any competitor starting today reaches operational status 2035+ at the earliest. Iridium has a significant head start with cutting-edge technology.

Future Growth Expectations

Direct-to-Device

Project Stardust unlocks the D2D market without capex spend. High-margin growth catalyst through software-driven expansion.

IoT at Scale

Global asset tracking, maritime monitoring, and industrial IoT require ubiquitous coverage that only LEO constellations provide. Iridium is first to the market.

Aviation & Maritime Broadband

Iridium Certus delivers L-band broadband to aircraft and vessels worldwide. Growing TAM as fleets modernize connectivity infrastructure.

Government & Defense

Sole provider of truly global, resilient satellite communication. Defense contracts provide stable, high-margin recurring revenue with long renewal cycles.

DoD EMSS Contract: 100% Renewal, No Substitute



The EMSS contract is IRDM's government anchor: a sole-source, unlimited-use blanket agreement serving all branches of the U.S. military with a service that has no terrestrial or satellite alternative at any price.

Contract Structure

Term	Detail
Full Name	Enhanced Mobile Satellite Services (EMSS)
Contracting Entity	Defense Information Systems Agency (DISA)
Structure	Unlimited-use blanket purchase agreement
Award Type	Sole-source - no competitive bidding
Renewal History	100% renewal rate, every cycle since 2004
Users	All U.S. military branches, FEMA, allied forces
Est. Annual Value	\$170M+ (govt service + E&S combined)

**Why No
Substitutes
Exist**

100% Global Coverage Including All Combat Theaters

Arctic, Antarctic, open ocean, denied-access regions. IRDM covers 100% of Earth. GEO satellites cannot cover above 70° latitude. No other commercial satellite service can make this claim simultaneously.

COMSEC/TRA NSEC Certified Across Military Branches

NSA-certified hardware is deployed across hundreds of thousands of devices in all branches. Switching would require re-certifying entirely new hardware and retraining. The cost is 10-50x higher than the annual contract value.

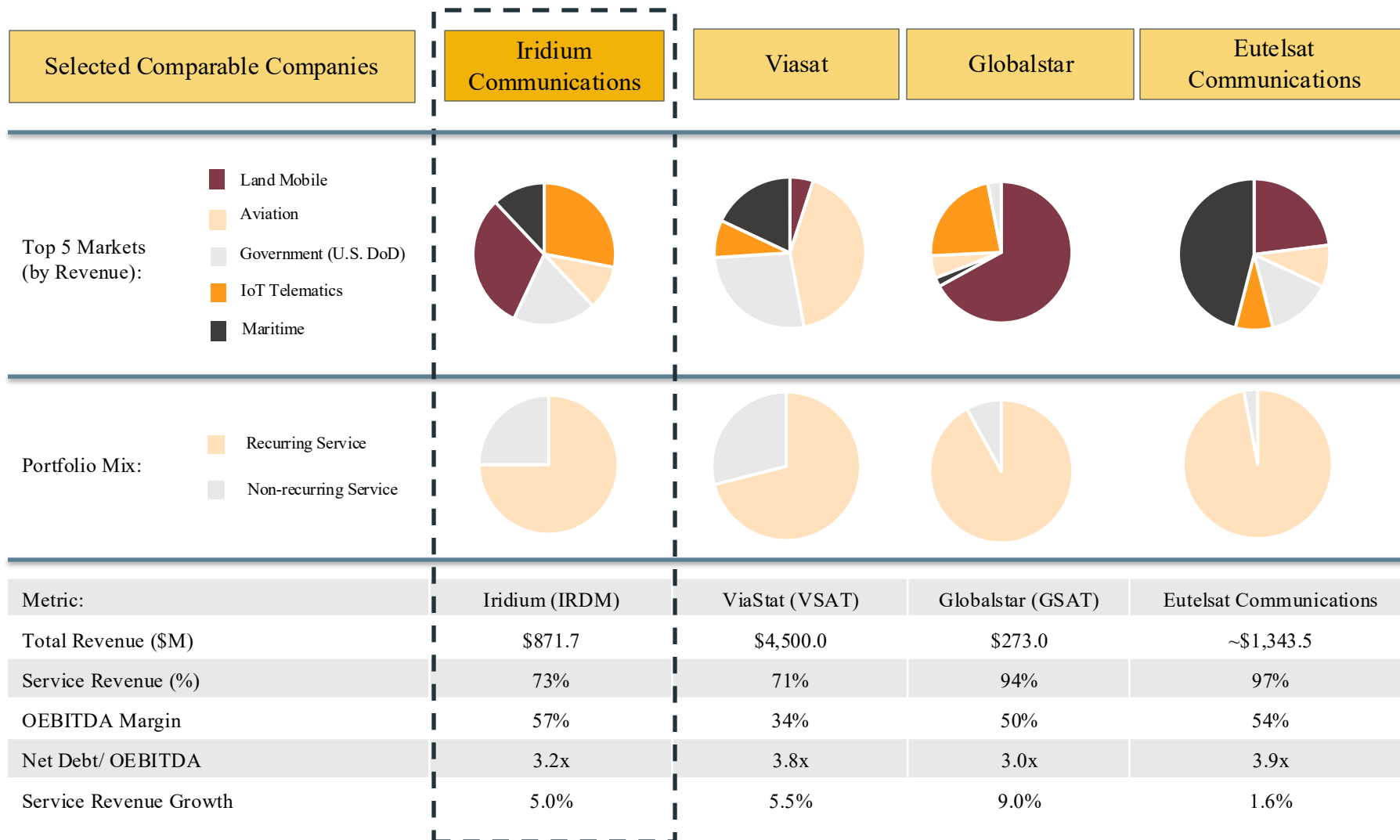
ISL Architecture = Operates in A2AD Environments

Provides a single view of a consumer that can be tracked and shared across all marketing. Inter-satellite links route data in space. IRDM operates where stations are denied or destroyed. No other commercial satellite service has this capability.

ROIC & Organic Growth

Sole-source = DoD formally determined that only IRDM can fulfill the requirement. It is not competing for renewal. Every re-award is functionally automatic unless IRDM fails operationally, which has never occurred in 20+ years of contract history.

Comparable Company Benchmarking



Three Market Misconceptions



1

"Capital-intensive telecom with leverage risk"

Reality –

Capex has peaked, and the harvest phase is beginning. NEXT buildout 100% complete. Capex \$100M to \$85M. FCF \$300M covers interest 4x. Net Debt/EBITDA declining 3.8x to <3.0x by FY27E.

2

"Starlink will commoditize IRDM's market"

Reality –

Starlink is Ka/Ku and consumer broadband needs 12-50W dishes. IRDM IoT sensors draw <1W on L-band. Additionally, one is home internet vs. the other is machine connectivity, they are not competitors.

3

"IRDM's spectrum assets are fully priced in"

Reality –

Amazon's rumored \$9B acquisition of Globalstar highlights the premium for scarce L-band spectrum. IRDM trades at ~1/3 of that value with higher FCF conversion and is now the only independent L-band monopoly

Net Result:

Market prices in "distressed telco" at 16% FCF yield. We are buying "monopoly infrastructure at a ~25% discount to private-market comps." Asymmetry: is shown through +12.81% base, -19% bear, 50% bear with bear case requiring DoD non-renewal (0% historical base rate).

Key Risks & Mitigants



	Risks	Probability	Severity	Mitigants
1	LEO Broadband Competition Starlink, OneWeb, and Kuiper could erode Iridium's data market share with faster, cheaper broadband alternatives	 35%	Medium	Mission-Critical Niche Iridium's pole-to-pole L-band coverage serves safety-of-life and defense users no LEO broadband can replace
2	Constellation Aging / Damages NEXT satellites launched 2017-2019 have ~15-year design span; mid-2030s replacement planning is a capital risk	 5%	High	Project Stardust Direct-to-device architecture refresh extends constellation utility and opens new revenue streams
3	U.S. Government Concentration DoD EMSS contract is a significant revenue driver; loss or reduction would materially impact financials	 10%	Medium	Commercial Diversification Growing IoT, maritime, and aviation verticals reduce dependence on any single government contract
4	Spectrum & Regulatory Risk L-band interference from adjacent 5G/terrestrial deployments or ITU reallocation could degrade service quality	 1%	High	Exclusive Spectrum Rights Iridium holds exclusive global L-band license with strong regulatory protections through the ITU
5	High Leverage Significant debt from the \$3B constellation refresh constrains strategic flexibility and increases rate sensitivity	 15%	Low	Strong FCF Generation Consistent free cash flow of ~\$200M+ annually supports rapid deleveraging and shareholder returns

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Iridium Revenue Overview



For Fiscal Year Ending	2025A	2026E	2027E	2028E	2029E	2030E
<i>(in millions, except for subscriber data)</i>						
Total Revenue	871.66	912.63	975.04	1,061.40	1,164.20	1,281.49
1 Total Service	634.00	677.44	736.37	818.16	915.24	1,023.92
2 Subscriber Equipment	81.10	66.10	56.10	46.10	36.10	27.73
3 Engineering and Support Services	156.60	169.09	182.58	197.14	212.86	229.84

Commentary

- 1 This growth is driven through the Commercial IoT and the 2024 acquisition of Satelles, which provides assured PNT (Position, Navigation, and Timing) services as a resilient alternative to GPS. Management expects this to target \$100M PNT service revenue by 2030.
- 2 This downward trend is a strategic play by management to shift from selling hardware to a software-and-service-heavy model where partners build their own Iridium-connected devices where partners build their own Iridium-connected devices using specialized ASIC chips.
- 3 This segment involves specialized technical work and maintenance, primarily for the U.S. government and the Space Development Agency (SDA). Forward-looking growth is driven by Iridium's role as a mission-critical provider for the U.S. Space Force under the long-term EMSS contract. As government agencies look to integrate commercial satellite capabilities into their defense architectures.

Discounted Cash Flow Analysis – Base Case



For Fiscal Year Ending	2026E	2027E	2028E	2029E	2030E	WACC Build	
EBIT	240.06	293.20	358.83	432.61	513.79	Total Debt	1,791.00
(-) Taxes	26.80	39.28	54.82	71.87	91.27	Total Equity	1,921.00
NOPAT	213.25	253.91	304.01	360.74	422.53	Total Preferred	0.00
						Cash & Investments	(96.50)
(+) D&A	198.00	186.00	174.00	162.00	150.00	Total Capitalization	3,615.50
(-) Change in NWC	18.05	(0.72)	(2.23)	(2.50)	(2.50)		
(-) Capital Expenditures	(87.09)	(94.33)	(104.07)	(115.46)	(128.15)	Cost of Debt	6.25%
						% of Debt	49.54%
Unlevered Free Cash Flow	480.29	534.97	584.31	640.69	703.17	Tax Rate	21.50%
						Weighted After Tax Cost of Debt	2.43%
					</		

Commentary

- Unlevered free cash flow expansion due to less spending on new projects and capex lifecycle horizons
- Capex increasing due to future projects, as L-band and LEO infrastructure is already in place to take advantage of the optimal orbital height advantage for industry position versus competitors
- Industry average multiple does not include the implied 86.9x multiple that Amazon is reportedly looking to pay for Globalstar, which is the closest competitor in the L-Band space, which Iridium mostly operates within
- Shows opportunity for significant M&A upside potential with its largest spectrum competitor off of the market

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Management Team



Years of Industry Expertise Leads to Well-Rounded Corporate Support



Industry transformation leader who guided Iridium through its post-bankruptcy reinvention into a \$5B+ enterprise.

Orchestrated NEXT constellation deployment — a \$3B capital program delivered on time and on budget. Prior tenure as CEO of Telcordia Technologies and 13 years at Nortel Networks provide deep telecom operating expertise. BS Computer Science (Ohio State), MBA (University of Chicago).

Thomas J. Fitzpatrick

Suzanne E. McBride

Admiral Eric T. Olson

Louis M. Alterman

L. Anthony Frazier



COO



CFO



EVP



EVP



EVP



30+ year satellite industry veteran who built the original Iridium constellation during her tenure at Motorola. Returned to lead operations after serving as COO at OneWeb, bringing rare dual-constellation construction experience. Her technical depth and operational discipline anchor Iridium's network reliability at 99.9% uptime.

Decade-long Iridium insider promoted from SVP Finance, ensuring continuity of the company's disciplined capital allocation framework. Previously CFO of Mobilitie and held senior finance roles at Nextel/Sprint — providing public-company CFO experience across telecom and infrastructure. Deep familiarity with Iridium's financial model from the inside out.

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12-year Iridium insider who rose through sales ranks to lead the commercial engine. Oversaw subscriber base that nearly quadrupled and partner ecosystem growth to 500+ companies. Previously at ORBCOMM and BT Global Services. MSc Telecom Business (UCL).

Former CEO of Satellites — acquired by Iridium for ~\$115M in 2024. Invented the world's first GPS-guided tractor at Stanford. Built the Satellite Time & Location (STL) service protecting critical infrastructure (FAA, L3Harris, DoT). MIT Technology Review Top Innovator; Space Technology Hall of Fame inductee.

D2D TAM: \$600M Near-Term, Near-Zero Capex



Apple Emergency SOS and Qualcomm's Snapdragon anchor L-band D2D at scale – IRDM's constellation is the only commercially deployed network with global pole-to-pole D2D capability today

Apple – Emergency SOS

What It Means

Per-unit wholesale fee embedded in every iPhone sold – revenue day one with zero IRDM marketing cost. Apple handles all consumer-facing UX and distribution.

TAM: ~\$300M

~200M eligible iPhones × ~\$1.50 annualized IRDM revenue per device

Qualcomm – Snapdragon

Gen 2+ Android ecosystem

What It Means

Chip-embedded connectivity in Samsung Galaxy, Google Pixel, and flagship Android OEMs. Once the chipset is manufactured with IRDM, the cost to IRDM is near zero per connection.

TAM: ~\$150M

~100M eligible devices × ~\$1.50 annualized IRDM revenue per device

Consumer Messengers

SPOT, Garmin, PLBs, EPIRBs

What It Means

5M+ satellite messenger devices at \$20–\$30 ARPU/year. Higher ARPU than D2D but smaller device base. Sticky, safety-critical use cases with near-zero churn.

TAM: ~\$120M

~5M devices × \$20–\$25 ARPU annually with multi-year subscriptions

\$570M

Near-Term D2D TAM – Addressable with current deployed constellation, no new satellites, no new spectrum.

Zero Incremental Infrastructure Cost

IRDM has 0 satellites to launch, 0 new spectrum to acquire, and 0 new ground infrastructure for D2D. Every D2D dollar flows to EBITDA at near 100% incremental margin.

Revenue Stream Breakdown



FY2025 revenue of \$872M (+4.9%); E&S growing 26% reflects D2D partner revenue, Apple and Qualcomm tech contracts, and DoD tech refresh. Equipment decline is mix-accretive; hardware buyers become high-margin service subscribers.

Segment	FY2025A	YoY	5Yr CAGR	% Rev
Service -Commercial	\$526M	+3.4%	+4.9%	60.3%
Eng. & Support Services	\$157M	+25.9%	+17.4%	18.0%
Service -Government	\$108M	+1.6%	+12.9%	12.4%
Subscriber Equipment	\$81M	-11.3%	+11.7%	9.3%
Total	\$872M	+4.9%	+9.1%	100%